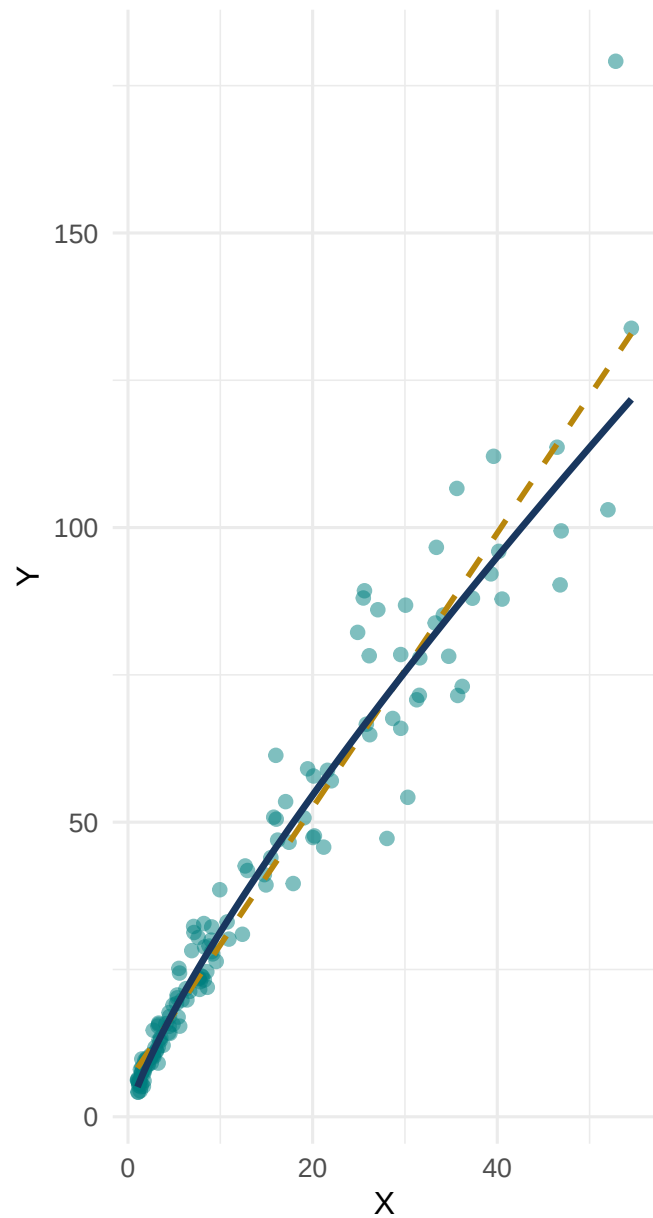
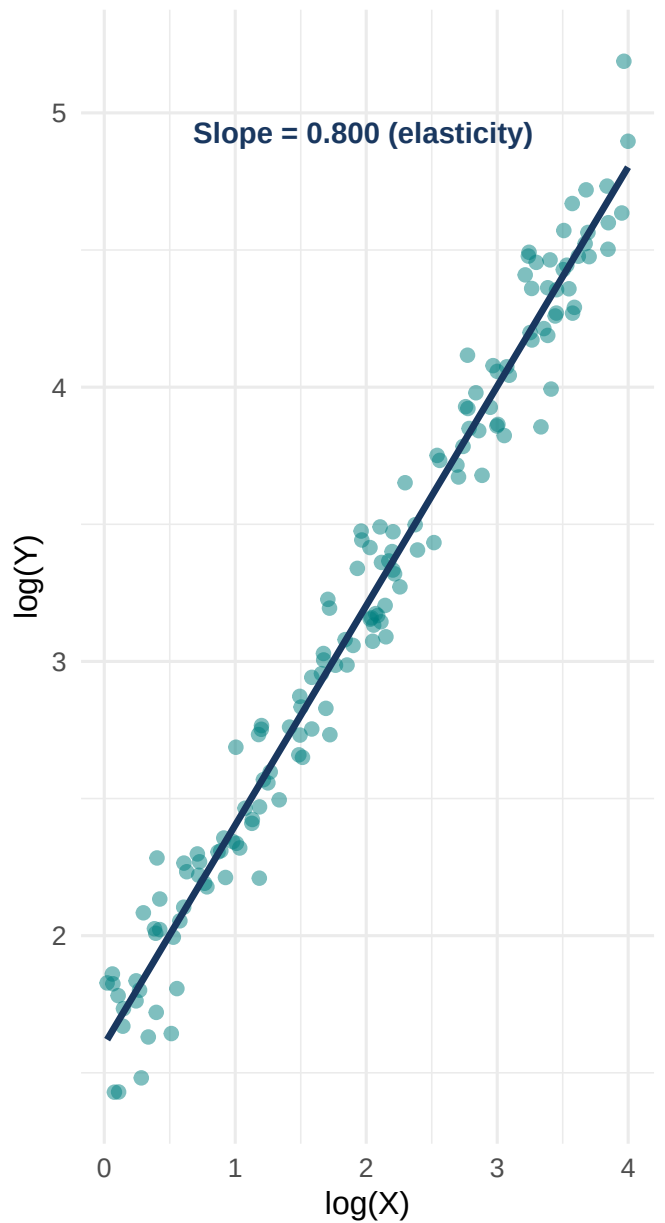


Log-Log Specification: Constant Elasticity

Level-Level (shows nonlinearity)



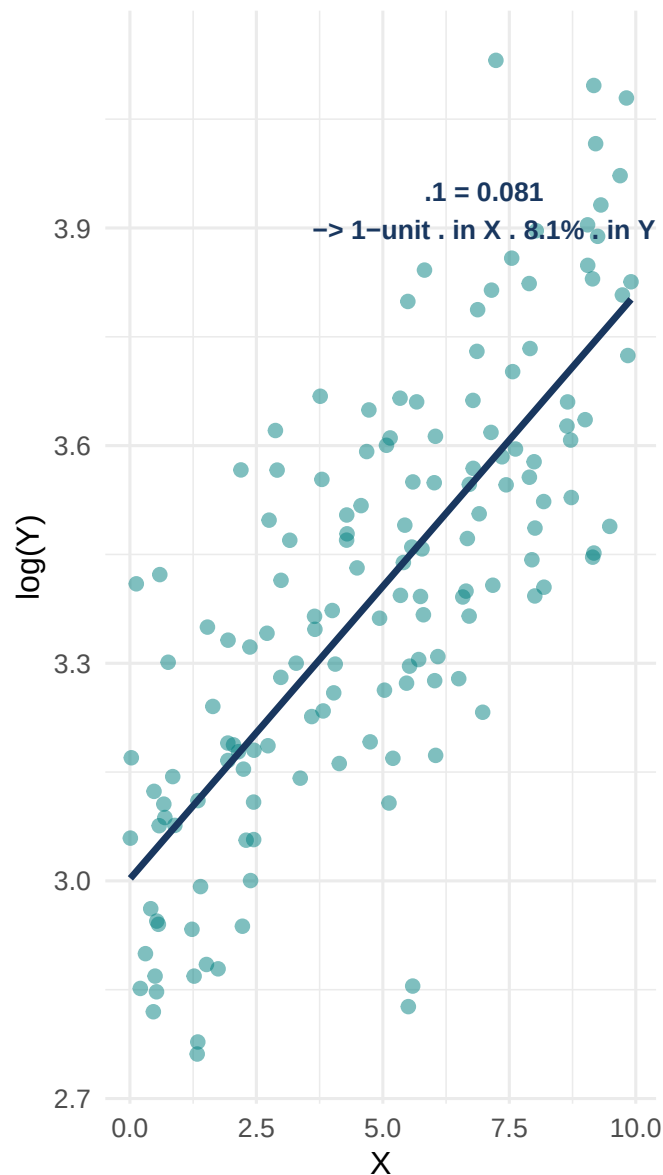
Log-Log (linearizes relationship)



Logarithmic Specifications Comparison

Log-Level: $\log(Y) = .0 + .1 \cdot X + u$

Linear in X, percentage change in Y



Level-Log: $Y = .0 + .1 \cdot \log(X) + u$

Percentage change in X, linear change in Y

